

ELECTRONIC CHEMICALS AND MATERIALS: The Indian Market Outlook



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A wide range of highly sophisticated chemicals and materials—solid, liquid and gaseous—is used at different stages of electronic components' and products' manufacturing, starting from semiconductor and printed circuit board (PCB) fabrication to flat-panel displays, various stages of cleaning, chip packaging and product insulation. It follows that the demand for these chemicals and materials will increase with the growth in electronics manufacturing.

This report highlights the key demand and supply drivers, as well as challenges faced by companies in this sector.

Opportunities galore

The increase in demand for electronic chemicals is related to the overall growth in the production of electronic devices, as well as innovations in technology. According to BCC Research, the global market for electronic chemicals is expected to reach US\$ 30.5 billion by 2020, growing annually at 5.9 per cent from 2016 to 2020. Wafer fabrication segment had the highest revenue share in 2016 and is expected to maintain its lead throughout this period. Silicon wafers are the most common type of wafer fabrication material used globally.

The same report states that the global demand for electronic chemicals and ma-

Methodology

The research team at ComConnect Consulting collated quantitative and qualitative information on the electronic chemicals markets as part of secondary research. The findings were then analysed and verified by industry members, either through exclusive interviews or in response to the survey questionnaire. We interacted with stakeholders across global and Indian companies. This sample group is a microcosmic representation of the electronic chemicals and materials industry ecosystem, comprising chemicals and materials suppliers for the electronics industry and users like component and PCB manufacturers (Fig. 1). These senior professionals shared their insights on the following aspects:

1. Approximate year-on-year growth
 2. Market opportunities
 3. Demand-supply gap
 4. Products in demand
 5. Primary source of products (local production or imports)
 6. Market challenges
- A trend analysis was done on the basis of their inputs. Results of the analysis are presented here.

terials has increased owing to technology advancements and the increase in demand from applications like photovoltaic, integrated circuits, as well as PCBs for mobiles, laptops, computers, tablets, LED bulbs and others. Other factors driving market growth globally include strict environmental regulations, increasing consumption of IC process chemicals, and rapid economic growth in emerging countries. The Indian market may be a significant contributor to this growth, considering resurgence of the Indian electronics manufacturing industry.

Fifty per cent of the survey participants forecast that the Indian market for chemicals and materials used in electronics manufacturing will grow at a rate of up to 20 per cent. Twenty per cent of the survey participants predicted a higher growth rate between 20 and 30 per cent. The remaining 20 per cent

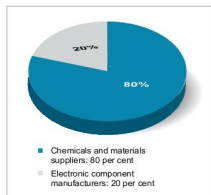


Fig. 1: Participants' profile

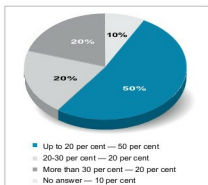


Fig. 2: Expected growth rate of the Indian market for electronic chemicals and materials